

BUILD YOUR SKILLS: INSURANCE

Please answer the following questions. Answers can be found in the back of the book.

1. What is a premium? A deductible?
2. Explain the difference between copay and coinsurance to someone who does not know what the terms mean.
3. What are some factors that will likely increase your car insurance premium?
4. You have a health insurance policy with a monthly premium of \$200, an emergency room copay of \$25, and a deductible that is \$1,000. During the first month of your policy, you break your leg doing something incredible—bull riding, let's say—you go to the emergency room, and rack up a \$2,500 bill, which is covered by your health insurance. If that is your only medical service for the month, how much will you pay out of pocket that month for your medical coverage?